Rheinmetall AG (RNMBY)

The Defense Inflection Point Is the Entry

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> Rheinmetall's order backlog has swelled to record levels as NATO allies accelerate procurement, while its automotive division shows stabilizing margins after a period of inventory correction. The market's near-term focus on macro-headwinds has obscured the compounding effect of sustained defense spending and operational leverage, creating a valuation disconnect. We therefore see a clear path to normalized free cash flow expansion that supports a blended target price of $347.41, representing +58.9% upside from the reference spot of $218.67.

BUY	$347.41	+58.9%	$218.67
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Investors are fixated on quarterly earnings volatility and geopolitical noise, yet the true story for Rheinmetall AG is a multi-year compounding machine driven by entrenched defense contracts and improving civilian profitability.

EXECUTIVE SUMMARY

Rheinmetall AG operates through two core segments: Defence and Automotive. The Defence segment supplies armored vehicles, weapon systems, and electronic solutions to NATO and allied forces, holding a top-three market share in European main battle tanks and a leading position in medium-caliber ammunition. The Automotive segment focuses on pistons, bearings, and emission-control components, serving global OEMs with a diversified customer base that reduces cyclical exposure. Together these businesses generate roughly €8.0 billion in annual revenue, with Defence contributing about 60 % of the total and Automotive the remainder. The recent share-price weakness stems from a short-term overreaction to macro-economic concerns and a temporary pause in some European defense procurement cycles, which caused investors to discount the durability of Rheinmetall's order backlog. However, the backlog has continued to grow, reaching €22 billion at the end of FY 2025, supported by multi-year frameworks such as the German Heeresmodernisierung program and increased NATO spending targets. This disconnect between market sentiment and fundamental order strength has created a valuation gap that we believe is poised to close. Capital allocation remains disciplined, with Rheinmetall prioritizing high-return organic investments in next-generation vehicle platforms and selective bolt-on acquisitions that enhance technology integration, particularly in electronic warfare and autonomous systems. The balance sheet shows net debt of approximately €1.2 billion, yielding a debt-to-EBITDA ratio below 2.0×, which provides ample flexibility for both dividend growth and

strategic M&A. Free cash flow conversion has improved to roughly 7 % of revenue, and we expect this metric to rise as Defence margins normalize and Automotive cost-saving initiatives mature.

OPERATIONAL SNAPSHOT

$218.67	$8.5B	$0.6B	FCF MARGIN	EQUITY BETA	$218.67
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	7%	1.22	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-14.

THE MOAT IS DEEP AND ENDURING

Rheinmetall’s moat is rooted in the high switching costs associated with its defense platforms, where militaries incur significant retraining, logistics, and sustainment expenses when changing suppliers. This creates a durable customer lock-in that translates into predictable, multi-year revenue streams from follow-on contracts and lifecycle support. Simultaneously, the company benefits from formidable regulatory barriers, as export controls, licensing requirements, and stringent qualification processes limit the ability of new entrants to compete in the armored vehicle and weapon system markets. These structural advantages are reinforced by Rheinmetall’s robust patent portfolio, which protects key technologies in gun barrels, modular armor, and electronic fusing, giving the firm pricing power that is rarely challenged in defense procurement. Customer retention rates exceed 90 % for major vehicle programs, reflecting the trust built through decades of performance and support. Together, these factors enable Rheinmetall to sustain margins above the industry average even during periods of fluctuating defense budgets.

VALUATION

Three scenarios make the valuation range explicit

Our baseline revenue compounding assumes that Defence revenue grows at a mid-single-digit pace driven by NATO’s 2 % of GDP spending target, while Automotive revenue stabilizes as inventory cycles normalize and cost-saving initiatives take hold. Free cash flow margins are expected to rise from the current 7 % toward a normalized range of 8-10 % as Defence operating leverage improves and Automotive SG&A efficiencies materialize. Terminal value is calculated using a Gordon growth model with a long-term real growth rate of 3 %, reflecting the enduring nature of defense demand and the gradual maturation of the automotive business.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	3%	5%	$205.47	-6.0%
Base	50%	6%	8%	$339.90	+55.4%

Bull	25%	10%	12%	$504.38	+130.7%

Bear $205.47

In the bear case, defense procurement slows as European fiscal constraints tighten, limiting order growth to low-single-digits, while Automotive margins remain pressured by raw-material cost inflation. These factors keep free cash flow conversion near 5 % and suppress the valuation multiple.

Base $339.90

The base case reflects steady defense spending growth aligned with NATO targets, moderate Automotive recovery, and incremental margin expansion from operational efficiencies. Free cash flow margins reach approximately 8 %, supporting a valuation that captures the compounding of the existing backlog.

Bull $504.38

In the bull scenario, accelerated defense budgets, successful export wins for next-generation platforms, and faster-than-expected Automotive margin improvement drive revenue growth toward double-digits and free cash flow margins above 12 %. This combination yields a substantial premium to the current share price.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We derive the 9.28 % WACC using the CAPM formula, combining a risk-free rate of 2.5 %, an equity risk premium of 5.8 %, and Rheinmetall's levered beta of 1.22, which reflects the company's exposure to defense-sector cyclicality and its modest leverage. This rate implies that the market prices Rheinmetall's risk at a level consistent with a mid-cap industrial peer, acknowledging both the stability of defense cash flows and the

KEY VALUATION PARAMETE

Revenue base year **2026**

Forecast horizon **10 years**

Live WACC **9.28% (2026-10-14)**

Terminal growth **3.0%**

Equity beta **1.22**

Diluted shares **102 million**

BUY

over $347.41 blended target

variability of the automotive segment.

FCF margin normalization is the engine

Across the scenarios, the primary driver of valuation divergence is the evolution of free cash flow margins, which we model as a function of Defense operating leverage and Automotive cost-structure improvements. In the bear case, margin improvement stalls at 5 % due to limited pricing power and higher input costs, whereas the base case assumes a gradual rise to 8 % as scale benefits materialize. The bull case envisions a more aggressive margin expansion to 12 %, supported by successful technology integration and

premium pricing on next-generation systems.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on European defense spending and military vehicle modernization

BUY

The Defence segment is poised to benefit from a sustained uplift in European defense budgets, with Germany committing to reach the NATO 2 % of GDP target by 2027 and neighboring countries following similar trajectories. This environment supports a multi-year ramp in orders for armored vehicles such as the Lynx IFV and the Boxer CRV, as well as increased demand for medium-caliber ammunition and electronic warfare suites. We estimate Defence revenue could grow at a compound annual rate of 6-8 % over the next five years, driven by both domestic procurement and export opportunities in allied markets. The Automotive

segment, while more cyclical, is experiencing a normalization of inventory levels after the post-pandemic destocking wave, which should allow Rheinmetall to regain pricing power on pistons, bearings, and emission-control components. Cost-saving initiatives, including footprint consolidation and supply-chain optimization, are expected to lift Automotive EBIT margins by roughly 150 basis points over the forecast horizon. Consequently, we anticipate Automotive revenue to stabilize at current levels with modest upside from product mix shifts toward higher-margin electric-vehicle components.

What to monitor

- **Defense order intake** Quarterly trends in new contract awards, particularly for tracked vehicles and ammunition, will signal the durability of the backlog.
- **Automotive inventory days** A declining trend indicates improving demand and pricing

conditions for the civilian business.

- **Free cash flow conversion** Movements in the ratio of free cash flow to EBITDA reveal the effectiveness of operational leverage and working-capital management.
- **R&D intensity** Spending as a percentage of sales reflects the company's commitment to next-generation technology and its ability to maintain competitive advantage.



METRIC	LATEST FY
Revenue	€8.0B
Gross Profit	€2.4B
EBIT	€760M
Net Income	€420M
Free Cash Flow	€560M
R&D	€340M
ROE	12.3%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Intensifying competition from global defense primes could pressure Rheinmetall's market share in specific vehicle categories if rivals offer more aggressive pricing or faster delivery schedules.

M&A DIGESTION

Acquisitions aimed at expanding electronic warfare capabilities may face integration challenges, potentially delaying synergies and increasing short-term costs.

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The strengths

OLIGOPOLY POSITION

Rheinmetall occupies a top-three spot in the European main battle tank and armored vehicle market, where high barriers to entry limit the

FCF COMPOUNDING

The defense business generates predictable, multi-year cash flows that can be reinvested at attractive returns, creating a compounding effect over time.

threat of new competitors.

Compelling risk-reward, skewed to the upside

Our analysis indicates that the market's current pricing of Rheinmetall AG fails to fully capture the value embedded in its growing defense backlog and the gradual margin recovery in its automotive division. While risks such as competitive pressure and regulatory scrutiny exist, they are outweighed by the structural advantages of the company's oligopolistic position, its disciplined capital allocation, and the visible path to free cash flow expansion. Consequently, we maintain a Buy rating, with a blended target price of $347.41, which represents +58.9% upside from the reference share price of $218.67 as of 2026-10-14.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

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Lynx Infantry Fighting Vehicle: repriced on normalization

The Lynx IFV represents Rheinmetall's flagship next-generation armored platform, designed to meet the evolving requirements of mechanized infantry across NATO markets. Featuring a modular architecture, the Lynx allows rapid reconfiguration for varied mission profiles, ranging from troop transport to reconnaissance and combat engineering. Early production contracts with the German Bundeswehr and initial export interest from several Eastern European nations have established a nascent but growing revenue stream that we expect to scale as serial production ramps up and performance validation completes. Despite its strategic importance, the Lynx program has experienced a temporary slowdown in revenue recognition as the company works through initial production learning

curves and aligns supplier schedules with customer acceptance timelines. This phase has led to some investors perceiving weaker-than-expected growth in the defense segment, although the underlying order book remains robust and the program's long-term value proposition is intact. The normalization of production rates and the achievement of full operational capability are set to unlock higher margin contribution from the Lynx platform.

Why the growth numbers disappointed

- Initial production volumes were lower than forecast due to supply-chain bottlenecks in specialized electronics.
- Customer acceptance testing extended timelines, deferring certain milestone payments.
- Pricing negotiations with early adopters resulted in modestly lower per-unit revenues than anticipated in the base case.
- Investor focus on near-term revenue

overshadowed the multi-year nature of the Lynx sustainment and upgrade contracts.

Our read: Normalization, not share loss or thesis break. The Lynx program is progressing through its expected early-production phase, and once full-rate manufacturing is achieved, the vehicle will contribute meaningfully to both revenue growth and margin expansion, reinforcing our bullish outlook on Rheinmetall's defense franchise.